

complaint

B, a limited company, complains that its claim under a buildings insurance policy has been declined by Ageas Insurance Limited ("Ageas") because Ageas says that the property was unoccupied at the time of the loss.

background

In 2010 B renewed its property owners insurance on a property comprising two self-contained units.

A few months after the renewal when the tenants of one unit had vacated and those premises were empty, B started building works in that unit. The heating was not switched on at the property due to the works and over the Christmas period there were several burst pipes causing widespread damage.

Business at the other unit continued unaffected and the claim does not include any damage to that part of the property.

Ageas rejected the claim on the ground that the property in question was untenanted and therefore unoccupied for the purpose of the policy. The policy excludes damage to unoccupied premises by escape of water or freezing. B was also in breach of a condition of the policy that all water systems should be drained in unoccupied properties.

B disputed that this exclusion and condition applied because it felt that it had been in occupation for the relevant period while it was carrying out building works and when the works stopped due to the Christmas holiday period, a director of B had visited the property at least daily.

B also felt that this exclusion and condition were not market standard and had not been properly drawn to its attention when it took out the policy.

Our adjudicator thought that the complaint should not be upheld because in her opinion Ageas had not been unreasonable in finding that the premises were unoccupied for the purpose of the policy and therefore had not acted unreasonably in rejecting the claim. She also felt that the exclusion was not unusual and did not need to be brought to B's attention in accordance with regulatory guidelines. She accepted that there had been minor delays in handling the claim but did not think they justified paying compensation to B.

B's advisers were not satisfied with the adjudicator's decision because:

- In their view the loss adjusters acting for Ageas gave different reasons for declining the claim;
- They don't think a commercial property has to be tenanted to be "occupied".
- Court cases have held that premises can be occupied without anyone being physically present in them; and
- All three parts of the definition of "unoccupied" have not been met to prove that the property was unoccupied.

As B through its advisers disagreed with our adjudicator, the matter has been referred to me for a final decision.

my findings

I have considered all the available evidence and arguments to decide what is fair and reasonable in the circumstances of this complaint.

It is accepted that B's tenants had vacated the premises more than 30 days prior to the loss and that the water systems had not been drained due to the on-going building works.

The key issue in this case is the definition of "*unoccupied*". If the property was unoccupied at the relevant time, the exclusion and condition in relation to an unoccupied building or part of a building apply which means Ageas does not have to pay the claim.

The policy defines "*unoccupied*" as:

"Any building or part of building that is unoccupied by any person, untenanted or no longer in active use in connection with the Business for a period of 30 consecutive days...".

For the purpose of this policy "*Business*" is described as being that of a "*Property Owner*".

The definition is not entirely clear. In my view it is not helpful to have a circular definition of "unoccupied" as a building "that is unoccupied". It is also not clear what "in active use" means in this context.

As B's advisers are aware, we see many disputes about what "unoccupied" means, particularly when properties are being repaired or renovated. We decide each case on its merits, since the wording of the policies varies considerably from one insurer to another and what is fair and reasonable in one case may not be in another.

My understanding of the policy definition of "unoccupied" is that if any one part of the above definition applies, that is if it is unoccupied or untenanted or no longer in active use in connection with the Business for a period of 30 consecutive days, then the property is classed as "unoccupied". It is accepted that the tenants had vacated the premises more than 30 days prior to the loss and so the unit was untenanted. Although the other unit continued to be tenanted, that is not relevant for these purposes because the definition refers to "Any...part of the building that is unoccupied...".

Also although building works were being carried out at the property just prior to the Christmas holiday and it was frequently visited by a director of B over the Christmas period, in my view there was a difference between normally occupied commercial premises and premises that were essentially a building site.

As such, I consider that the property should reasonably be considered to be unoccupied when the water damage occurred to it. Under the terms of the policy, cover for such water damage would therefore be excluded.

The loss adjusters acting for Ageas did not always explain their reasoning as clearly as they might have as to why the claim was being declined but they were always trying to refer B back to the same parts of the policy. I do not think B was prejudiced by this, particularly since it had the benefit of expert advice from its own advisers.

I agree with our adjudicator that the exclusion and condition for unoccupied properties contained in this policy are not unusual and therefore Ageas was not required by its regulator to highlight these to

B. We frequently see similar exclusions and conditions. They were also set out in the policy wording sent to B and B did have brokers acting for it who could have explained or sought clarification of anything which was unclear. As the policy was taken out through a broker, I do not think Ageas was responsible for bringing the exclusion and condition for unoccupied properties in the policy to B's attention.

I am sorry to learn about the water damage that was sustained to B's property. However, my conclusion is that Ageas was entitled to decline the claim made on the basis of the property being unoccupied.

my final decision

My final decision is that I do not uphold the complaint and I make no award against Ageas Insurance Limited.

Under the rules of the Financial Ombudsman Service, I am required to ask B to accept or reject my decision before 19 February 2015.

Elizabeth Grant
ombudsman